# Samsung Biologics (207940 KS)

## Growth persists despite headwinds

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**BUY (M)**

| | |
|---|---|
| Target price | W2,000,000 (M) |
| Previous target price | W2,000,000 |
| Current price (Oct 21) | W1,417,000 |
| Upside potential | 41% |

| | |
|---|---|
| Market cap (Wbn) | 65,594 |
| Shares outstanding | 48,560,951 |
| Avg daily T/O (2M, Wbn) | 86 |
| Avg daily volume (2M, shrs) | 59,673 |
| 52-week high/low (won) | 1,949,875 / 1,135,194 |
| Foreign ownership (%) | 12.70% |
| Dividend yield (%) | 0.00% |
| Major shareholders | Samsung C&T & others |

**Stock performance**

| (%) | 1M | 3M | 12M |
|---|---|---|---|
| Absolute | 1.9 | 2.4 | (15.2) |
| Relative | 24.4 | 20.4 | (43.5) |
| Abs (US$) | 6.1 | 13.8 | (8.6) |

### 3Q26 review: revenue recognition for new facilities begins

Samsung Biologics posted 3Q26 consolidated revenue of W1.49tn (+18.5% YoY) and OP of W630.1bn (+1.0% YoY, OPM 42.9%), beating consensus. While Plants 1 through 4 maintained full utilization, Plant 5 expanded its sales contribution as process performance qualification (PPQ) batch production ramped up. Its earnings contribution is expected to accelerate from 2H27 when the transition to commercial production is anticipated.

The Rockville facility acquired early this year sustained stable commercial production again in 3Q26, with revenue from 2Q26 production volumes recognized and contributing to growth. The company raised its annual guidance from 15-20% growth to 20%, reflecting revenue recognition from the Rockville plant.

### Expectations for client order recovery

As of 3Q26, cumulative orders increased slightly QoQ to $21.9bn, but still fell short of the historical annual order amount. Weak orders reflected subdued customer inquiries following heightened uncertainty over pharmaceutical tariffs early last year. Inquiries have been recovering since early 2026 on eased tariff uncertainties. Given that contract discussions typically take around a year, an order recovery could become visible in late 2026 or early 2027.

Given the importance of maintaining a stable supply chain in the CDMO sector, potential labor strikes are also seen as a factor that could delay new orders from customers. However, such concerns have eased somewhat following the Incheon High Court's Oct 16 ruling in favor of an injunction against industrial action, expanding the scope from three production processes to nine.

### Maintain BUY and target price of W2,000,000

We maintain BUY and our target price of W2,000,000. Despite won appreciation vs the dollar, the ramp-up of Plant 5 and revenue contributions from Rockville should sustain solid earnings growth. The resolution of labor issues and major contract wins should serve as catalysts for an increase in the share price.

**Quarterly earnings**

| (Wbn) | 3Q26P | % YoY | % QoQ | Consens | vs consens (%) |
|---|---|---|---|---|---|
| Sales | 1,490 | -33.3 | 12.8 | 1,357 | 9.8 |
| OP | 640 | -18.3 | 9.1 | 611 | 4.7 |
| Pre-tax net profit | 532 | -33.0 | -9.0 | 609 | -12.6 |
| Net profit, CI | 391 | -31.9 | -9.2 | 468 | -16.4 |
| OPM (%) | 43.0 | +7.9 %pt | -1.4 %pt | 45.1 | -2.1 %pt |
| NPM (%) | 26.2 | +0.5 %pt | -6.4 %pt | 34.5 | -8.3 %pt |

Note: CI = controlling interest

**Forecasts and valuations (K-IFRS, consolidated)** (Wbn)

| FY ends Dec | 2024A | 2025A | 2026E | 2027E |
|---|---|---|---|---|
| **Sales** | 3,497 | 4,557 | 5,614 | 6,243 |
| OP | 1,321 | 2,069 | 2,487 | 2,804 |
| Net profit, CI | 1,083 | 1,784 | 1,818 | 2,151 |
| P/E (x) | 84.4 | 59.6 | 36.6 | 33.5 |
| P/B (x) | 8.4 | 9.8 | 5.7 | 5.1 |
| EV/EBITDA (x) | 32.4 | 28.0 | 21.5 | 17.9 |
| ROE (%) | 10.4 | 19.4 | 18.7 | 16.5 |

Source: Yuanta Securities

*For analyst certification and other important disclosures, refer to the Appendix at the end of this report.*

**Samsung Biologics: 3Q26 review** (Wbn)

| | 3Q26P | 3Q25 | % YoY | 2Q26 | % QoQ | Consensus | Difference | Our est | Difference |
|---|---|---|---|---|---|---|---|---|---|
| Revenue | 1,490.3 | 1,257.5 | +18.5% | 1,320.9 | +12.8% | 1,356.9 | +9.8% | 1,347.7 | +10.6% |
| OP | 640.1 | 633.4 | +1.0% | 586.4 | +9.1% | 611.4 | +4.7% | 595.7 | +7.5% |
| OPM | 43.0% | 50.4% | -7.4%pt | 44.4% | -1.4%pt | 45.1% | -2.1%pt | 44.2% | -1.2%pt |

Source: Yuanta Securities

**Samsung Biologics: earnings forecast** (Wbn)

| | 1Q25 | 2Q25 | 3Q25 | 4Q25 | 1Q26 | 2Q26 | 3Q26P | 4Q26E | 2025 | 2026E | 2027E |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Revenue | 999.5 | 1,014.2 | 1,257.5 | 1,285.7 | 1,257.1 | 1,320.9 | 1,490.3 | 1,545.6 | 4,556.9 | 5,613.9 | 6,242.5 |
| YoY | 49.3% | 25.2% | 17.8% | 35.3% | 25.8% | 30.2% | 18.5% | 20.2% | 30.3% | 23.2% | 11.2% |
| Plant 1 | 95.0 | 92.7 | 100.8 | 112.6 | 115.7 | 118.6 | 115.6 | 109.7 | 401.0 | 459.6 | 445.0 |
| Plant 2 | 244.7 | 239.9 | 259.2 | 259.2 | 274.1 | 265.6 | 278.9 | 298.3 | 1,003.0 | 1,116.9 | 1,156.8 |
| Plant 3 | 318.3 | 307.2 | 357.3 | 356.5 | 335.5 | 343.7 | 358.0 | 383.8 | 1,339.3 | 1,421.0 | 1,473.8 |
| Plant 4 | 296.2 | 327.0 | 474.4 | 490.5 | 467.2 | 478.7 | 502.7 | 505.9 | 1,588.1 | 1954.4 | 2,015.0 |
| Plant 5 | 0 | 0 | 0 | 0 | 0 | 47.7 | 63.6 | 69.9 | 0 | 181.1 | 529.1 |
| Rockville plant | 0 | 0 | 0 | 0 | 0 | 0 | 86.7 | 99.1 | 0 | 185.9 | 256.4 |
| Other | 45.4 | 47.4 | 65.8 | 66.9 | 64.6 | 66.7 | 84.8 | 78.9 | 225.5 | 295.0 | 366.3 |
| Gross profit | 542.0 | 566.2 | 736.4 | 672.2 | 679.9 | 699.9 | 738.5 | 819.2 | 2,516.8 | 2,937.5 | 3,325.1 |
| SG&A expense | 111.9 | 89.1 | 103.0 | 143.9 | 99.1 | 113.5 | 98.4 | 139.1 | 447.8 | 450.1 | 521.5 |
| OP | 430.1 | 477.0 | 633.4 | 528.3 | 580.8 | 586.4 | 640.1 | 680.1 | 2,068.9 | 2,487.4 | 2,803.6 |
| Growth (% YoY) | 84.8% | 44.9% | 42.4% | 67.9% | 35.0% | 22.9% | 1.0% | 28.7% | 56.6% | 20.2% | 12.7% |
| OPM | 43.0% | 47.0% | 50.4% | 41.1% | 46.2% | 44.4% | 43.0% | 44.0% | 45.4% | 44.3% | 44.9% |

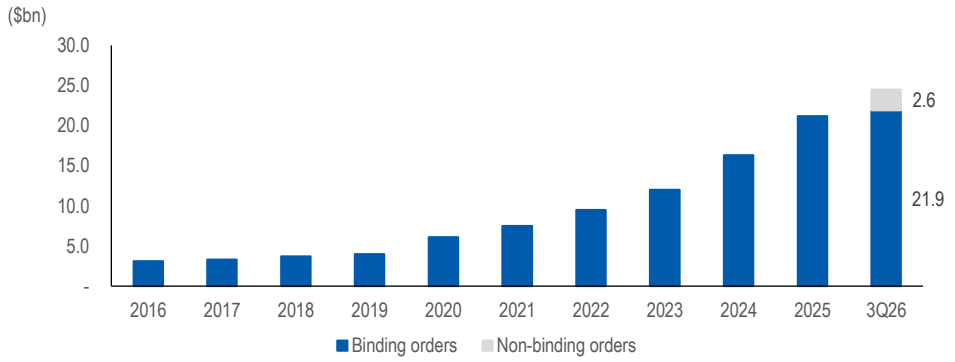
Source: Yuanta Securities

**Samsung Biologics: earnings forecast revision** (Wbn)

| | Old | | | New | | | Difference | | |
|---|---|---|---|---|---|---|---|---|---|
| | 4Q26E | 2026E | 2027E | 4Q26E | 2026E | 2027E | 4Q26E | 2026E | 2027E |
| Revenue | 1,549.4 | 5,475.0 | 5,989.1 | 1,545.6 | 5,613.9 | 6,242.5 | -0.2% | +2.5% | +4.2% |
| OP | 689.5 | 2,452.3 | 2,717.0 | 680.1 | 2487.4 | 2803.6 | -1.4% | +1.4% | +3.2% |
| OPM | 44.5% | 44.8% | 45.4% | 44.0% | 44.3% | 44.9% | -0.5%pt | -0.5%pt | 0.5%pt |

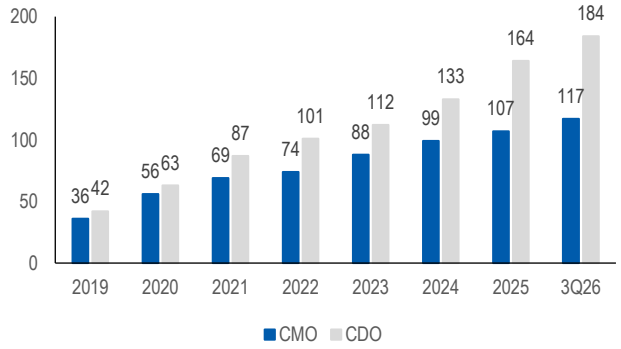
Source: Yuanta Securities

**Cumulative CMO orders**



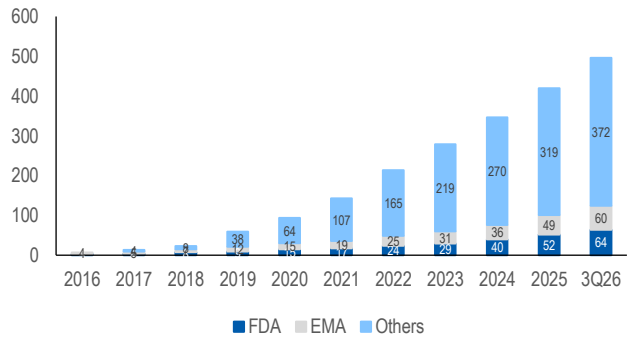

Source: company data, Yuanta Securities

**Number of CDMO contracted products**




Source: company data, Yuanta Securities

**CMO approval status**




Source: company data, Yuanta Securities

## Samsung Biologics (207940 KS) pro forma financial statements (K-IFRS, consolidated)

### Statement of comprehensive income

| FY ends Dec (Wbn) | 2024A | 2025A | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| **Sales** | **3,497** | **4,557** | **5,614** | **6,243** | **6,926** |
| Cost of sales | 1,786 | 2,040 | 2,677 | 2,917 | 3,195 |
| Gross profit | 1,711 | 2,517 | 2,937 | 3,325 | 3,732 |
| SG&A | 390 | 447 | 450 | 521 | 528 |
| **Operating profit** | **1,321** | **2,069** | **2,487** | **2,804** | **3,203** |
| EBITDA | 1,920 | 2,703 | 2,968 | 3,443 | 3,810 |
| Non-operating profit | 64 | 49 | -36 | 88 | 152 |
| Forex gains | 42 | -7 | -47 | 0 | 0 |
| Net interest income | 20 | 17 | 37 | 91 | 154 |
| Equity-method gains | 3 | 43 | -26 | 0 | 0 |
| Other | -1 | -3 | 0 | -3 | -3 |
| Net prof before income tax | 1,385 | 2,119 | 2,451 | 2,892 | 3,355 |
| Income tax | 345 | 504 | 634 | 741 | 857 |
| Net profit from continuing ops | 1,040 | 1,614 | 1,818 | 2,151 | 2,498 |
| Net profit from discontinued ops | 43 | 170 | 0 | 0 | 0 |
| Net profit | 1,083 | 1,784 | 1,818 | 2,151 | 2,498 |
| **NP for controlling interest** | **1,083** | **1,784** | **1,818** | **2,151** | **2,498** |
| Total comprehensive income | 1,074 | 1,779 | 1,845 | 2,185 | 2,531 |
| Total comprehensive income, CI | 1,074 | 1,779 | 1,845 | 2,185 | 2,531 |

### Statement of financial position

| FY ends Dec (Wbn) | 2024A | 2025A | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| **Current assets** | **5,518** | **4,408** | **7,124** | **9,351** | **12,185** |
| Cash & cash equivalents | 391 | 149 | 929 | 2,779 | 5,109 |
| Accounts receivables & other | 1,165 | 676 | 710 | 753 | 810 |
| Inventory | 2,818 | 2,128 | 2,712 | 2,877 | 3,098 |
| Non-current assets | 11,818 | 6,652 | 9,628 | 9,804 | 9,793 |
| Tangible assets | 5,374 | 6,029 | 6,421 | 6,819 | 7,008 |
| Investment in affiliates | 53 | 78 | 61 | 64 | 69 |
| Other investment assets | 36 | 11 | 54 | 58 | 62 |
| **Total assets** | **17,336** | **11,061** | **16,751** | **19,154** | **21,978** |
| Current liabilities | 3,853 | 2,533 | 3,416 | 3,601 | 3,849 |
| Accounts payable & other | 1,522 | 498 | 790 | 838 | 902 |
| ST financial liabilities | 327 | 0 | 46 | 46 | 46 |
| Liquid LT liabilities | 0 | 320 | 320 | 320 | 320 |
| Non-current liabilities | 2,578 | 1,077 | 1,374 | 1,407 | 1,451 |
| LT financial liabilities | 95 | 0 | 0 | 0 | 0 |
| Debentures | 918 | 599 | 599 | 599 | 599 |
| **Total liabilities** | **6,432** | **3,610** | **4,790** | **5,008** | **5,300** |
| Equity, controlling interest | 10,905 | 7,451 | 11,961 | 14,146 | 16,678 |
| Paid-in capital | 178 | 116 | 121 | 121 | 121 |
| Capital surplus | 5,663 | 3,392 | 6,051 | 6,051 | 6,051 |
| Retained earnings | 5,087 | 6,871 | 8,688 | 10,840 | 13,337 |
| Equity, non-controlling interest | 0 | 0 | 0 | 0 | 0 |
| **Total equity** | **10,905** | **7,451** | **11,961** | **14,146** | **16,678** |
| **Net debt** | **160** | **-558** | **-1,870** | **-3,851** | **-6,355** |
| Total debt | 1,491 | 927 | 1,237 | 1,239 | 1,242 |

### Cash flow statement

| FY ends Dec (Wbn) | 2024A | 2025A | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| **Operating cash flow** | **1,659** | **2,248** | **2,642** | **3,618** | **3,904** |
| Net profit | 1,083 | 1,784 | 1,818 | 2,151 | 2,498 |
| Depreciation & amortization | 304 | 369 | 407 | 410 | 398 |
| Forex gains | -78 | 14 | 78 | 0 | 0 |
| Affiliate investment gains | -3 | -43 | 26 | 0 | 0 |
| Increase in net working cap | -45 | -131 | 188 | 689 | 598 |
| Other | 397 | 256 | 125 | 367 | 410 |
| **Investing cash flow** | **-1,244** | **-1,862** | **-4,407** | **-914** | **-740** |
| Investment | -16 | 11 | -52 | -7 | -9 |
| Increase in tangible assets | -1,304 | -1,392 | -335 | -808 | -587 |
| Decrease in tangible assets | 1 | 2 | 0 | 0 | 0 |
| Other | 74 | -483 | -4,020 | -99 | -143 |
| **Financing cash flow** | **-434** | **-621** | **2,698** | **2** | **3** |
| ST financial liabilities | -333 | -458 | 75 | 2 | 3 |
| Debenture/LT financial liabilities | -110 | -106 | 235 | 0 | 0 |
| Equity | 0 | -2,333 | 2,665 | 0 | 0 |
| Cash dividend | 0 | 0 | 0 | 0 | 0 |
| Other cash flow | 9 | 2,277 | -277 | 0 | 0 |
| Consolidation adj and other | 42 | -7 | -153 | -855 | -837 |
| **Increase in cash & equivalents** | **23** | **-242** | **780** | **1,851** | **2,330** |
| Beginning cash & equivalents | 368 | 391 | 149 | 929 | 2,779 |
| Ending cash & equivalents | 391 | 149 | 929 | 2,779 | 5,109 |
| **NOPLAT** | 1,321 | 2,069 | **2,487** | **2,804** | **3,203** |
| **FCF** | **356** | **856** | **2,307** | **2,810** | **3,317** |

### Valuation

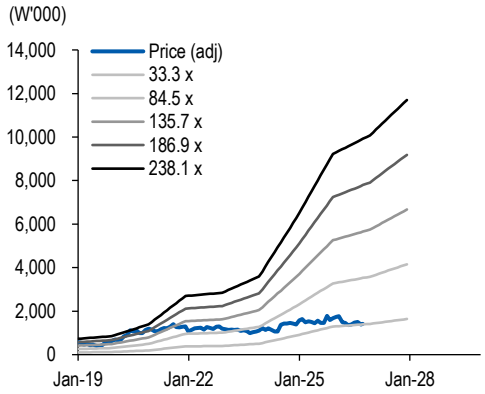
| FY ends Dec | 2024A | 2025A | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| EPS (won) | 15,094 | 26,350 | 38,746 | 42,321 | 49,138 |
| BPS (won) | 151,933 | 159,797 | 246,578 | 278,584 | 328,436 |
| EBITDA/shr (won) | 26,758 | 39,914 | 63,278 | 67,732 | 74,958 |
| SPS (won) | 48,725 | 67,295 | 119,679 | 122,810 | 136,259 |
| DPS (won) | 0 | 0 | 0 | 0 | 0 |
| **P/E (x)** | **84.4** | **59.6** | **36.6** | **33.5** | **28.8** |
| **P/B (x)** | **8.4** | **9.8** | **5.7** | **5.1** | **4.3** |
| **EV/EBITDA (x)** | **32.4** | **28.0** | **21.5** | **17.9** | **15.5** |
| **P/S (x)** | **26.2** | **23.3** | **11.8** | **11.5** | **10.4** |

### Key financial data

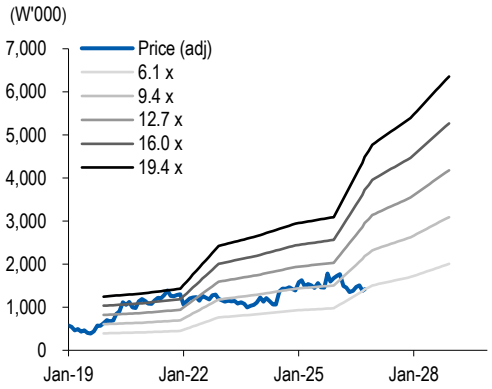
| FY ends Dec | 2024A | 2025A | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| **Sales (% YoY)** | **-5.3** | **30.3** | **23.2** | **11.2** | **11.0** |
| **Operating profit (%YoY)** | **18.6** | **56.6** | **20.2** | **12.7** | **14.3** |
| **Net profit, CI (%YoY)** | **26.3** | **64.7** | **1.9** | **18.4** | **16.1** |
| Gross margin (%) | 48.9 | 55.2 | 52.3 | 53.3 | 53.9 |
| **Operating margin (%)** | **37.8** | **45.4** | **44.3** | **44.9** | **46.2** |
| Net margin, CI (%) | 31.0 | 39.2 | 32.4 | 34.5 | 36.1 |
| EBITDA margin (%) | 54.9 | 59.3 | 52.9 | 55.2 | 55.0 |
| ROIC (%) | 8.9 | 17.0 | 21.6 | 20.4 | 23.0 |
| ROA (%) | 6.5 | 12.6 | 13.1 | 12.0 | 12.1 |
| **ROE (%)** | **10.4** | **19.4** | **18.7** | **16.5** | **16.2** |
| Debt-to-equity (%) | 59.0 | 48.4 | 40.0 | 35.4 | 31.8 |
| Net debt-to-equity (%) | 1.5 | -7.5 | -15.6 | -27.2 | -38.1 |
| OP/financing cost (x) | 38.7 | 70.9 | 74.1 | 79.0 | 90.0 |

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

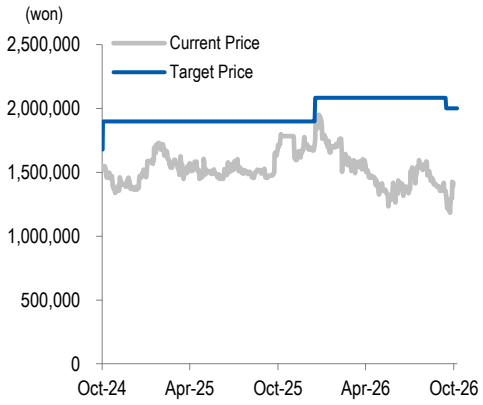
**P/E band chart**




**P/B band chart**




**Samsung Biologics (207940 KS) ratings and target price history**




| Date | Rating | TP (won) | TP time frame | Difference (%) | |
|---|---|---|---|---|---|
| | | | | vs avg price | vs high (low) |
| 2026/10/22 | BUY | 2,000,000 | 1 yr | | |
| 2026/10/06 | BUY | 2,000,000 | 1 yr | | |
| 2026/01/07 | BUY | 2,083,836 | 1 yr | -27.07 | -6.43 |
| 2025/10/24 | After 1yr | | 1 yr | -9.36 | -5.23 |
| 2024/10/24 | BUY | 1,898,539 | 1 yr | -20.35 | -8.85 |
| 2024/08/08 | BUY | 1,679,477 | 1 yr | -13.49 | -5.13 |

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

| Rating | Share (%) |
|---|---|
| STRONG BUY | 0 |
| BUY | 96.9 |
| HOLD | 3.1 |
| SELL | 0 |
| Total | 100.0 |

Note: As of Oct 22, 2026 Excluding reports written or published by overseas affiliates

## Appendix: Important disclosures

### Analyst certification

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  **- Buy:** Expected to return between 15% and 30%
  **- Hold:** Expected to return between -15 and +15%
  **- Sell:** Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
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  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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